



United States
Attorney's Office
District of New Jersey



Vault Agrees to Pay \$8 Million to Settle Allegations of Billing False Claims to the COVID-19 Uninsured Program for Patients with Health Insurance



Wednesday, April 23, 2025

For Immediate Release

U.S. Attorney's Office, District of New Jersey

NEWARK, N.J. – Vault Medical Services, P.A. and Vault Medical Services of New Jersey, P.C. (collectively “Vault”), have agreed to pay the United States \$8 million to resolve allegations that Vault violated the False Claims Act by knowingly submitting or causing the submission of false claims to the Health Resources & Services Administration COVID-19 Claims Reimbursement to Health Care Providers and Facilities for Testing, Treatment, and Vaccine Administration for the Uninsured Program (the “Uninsured Program”) for patients who had health insurance, U.S. Attorney Alina Habba announced.

Between approximately May 2020 and April 2022, the Uninsured Program reimbursed eligible providers for COVID-19 tests, testing-related items and services, treatment, and vaccines performed on uninsured individuals. During the public health emergency, Vault provided various COVID-19 related services to patients across the country, including specimen collection services and vaccine administration. Vault provided these services via telehealth and at in-person testing sites, and specimens were sent to laboratories for processing. The settlement announced resolves allegations that Vault knowingly submitted or caused the submission of claims for these services to the Uninsured Program for patients who had active health insurance.

Specifically, the United States alleges Vault was aware of data integrity issues with patient information collected at the point of service but failed to substantively address those issues, and did not ensure the collection of complete patient information, including demographic and insurance information. The United States further alleges that Vault failed to properly confirm whether certain patients had health insurance coverage, and disregarded insurance information for individuals for whom Vault had valid insurance information on file, including confirmation through an insurance verification process, before submitting claims to the Uninsured Program.

“The Uninsured Program provided critical support for testing and treatment for uninsured Americans during the height of the pandemic. Our office will not tolerate the alleged fraud, abuse, and waste of these funds.”

- U.S. Attorney Alina Habba

“Individuals and entities that participate in the federal healthcare system are required by law to preserve the integrity of program funds,” stated Special Agent in Charge Naomi Gruchacz with the U.S. Department of Health and Human Services Office of Inspector General. “The settlement in this case involves a provider that knowingly sought reimbursement for federal funds to which they were not entitled, and by doing so jeopardized the provision of services for the uninsured.”

The resolution obtained in this matter was the result of a coordinated effort between the U.S. Attorney’s Office for the District of New Jersey and the Justice Department’s Civil Division, Commercial Litigation Branch, Fraud Section, with assistance from HHS-OIG.

The government is represented by Assistant U.S. Attorney Kruti Dharia of the Opioid Abuse Prevention and Enforcement Unit and Trial Attorneys Lindsay DeFrancesco, Elizabeth J. Kappakas, and James Nealon in the Civil Division’s Commercial Litigation Branch (Fraud Section).

The government’s pursuit of these matters illustrates the government’s emphasis on combating healthcare fraud. One of the most powerful tools in this effort is the False Claims Act. Tips and complaints from all sources about potential fraud, waste, abuse, and mismanagement can be reported to the Department of Health and Human Services, at 1-800-HHS-TIPS (800-447-8477).

The claims resolved by the settlement are allegations only, and there has been no determination of liability.

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[vault.agreement.pdf](#)

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